Rent Convergence in England

A 1–3 Bed Affordable-Housing Investment Screen

Where market rent, LHA, Affordable Rent and social rent line up

Measured from official open data — 97 local authorities scored

ONS Private Rental Market Statistics · DWP/VOA LHA · Regulator of Social Housing

July 2026

Executive summary

What this is

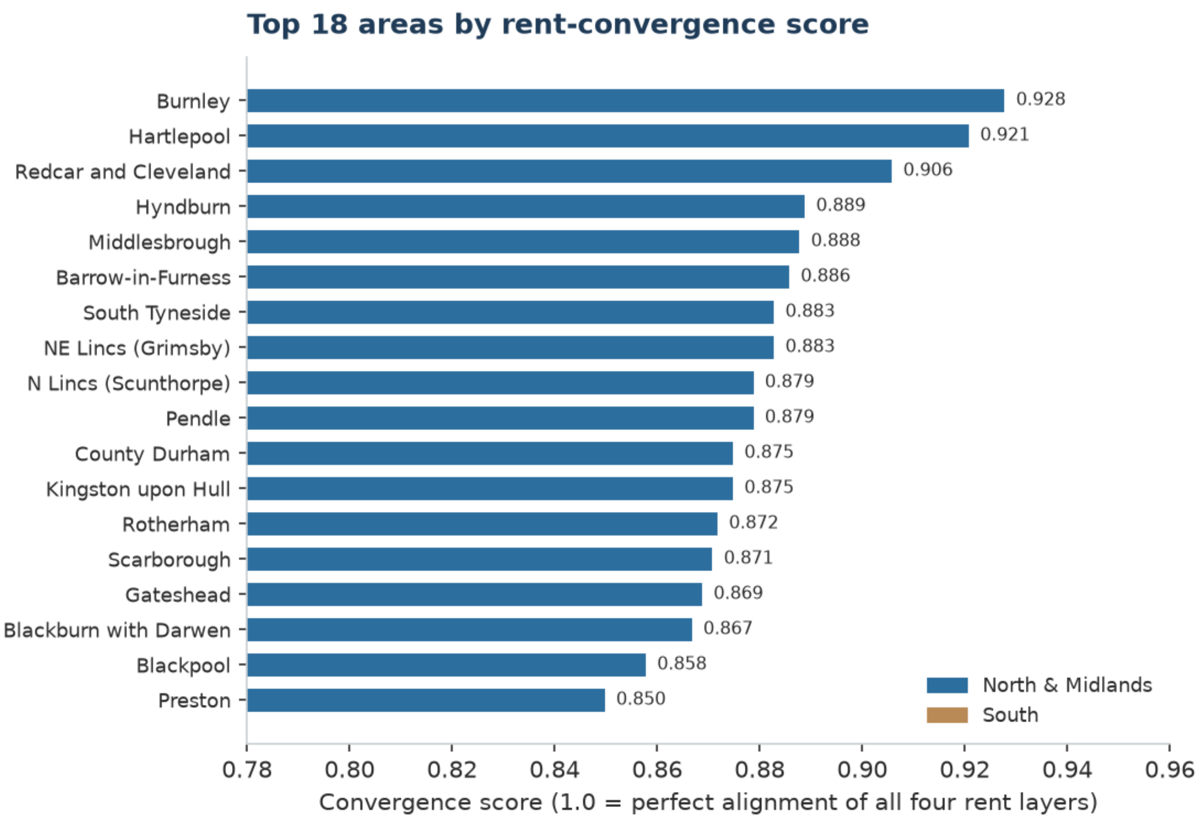
- A screen for English areas where all four rent levels for 1–3 bed homes sit close together — lower rent risk, stronger housing-benefit alignment.
- Four layers compared: market rent, LHA (benefit cap), Affordable Rent (80% of market), and social rent.
- 97 local authorities scored from official open data; studios and shared housing excluded.

Headline finding

- **Geography:** convergence is concentrated in the low-cost North & Midlands; the least-converged areas are all high-rent South.
- Every one of the top 25 areas is northern or Midlands; the bottom five are Cambridge, Brighton, Bristol, Exeter, Oxford.
- **Why:** the driver is social-rent attachment — near-uniform social rent only sits close to market rent where market rent is low.

Top 5 investment picks (convergence + demand)

- Teesside (Hartlepool / Redcar / Middlesbrough) · Kingston upon Hull · Doncaster · Sunderland · Stoke-on-Trent.



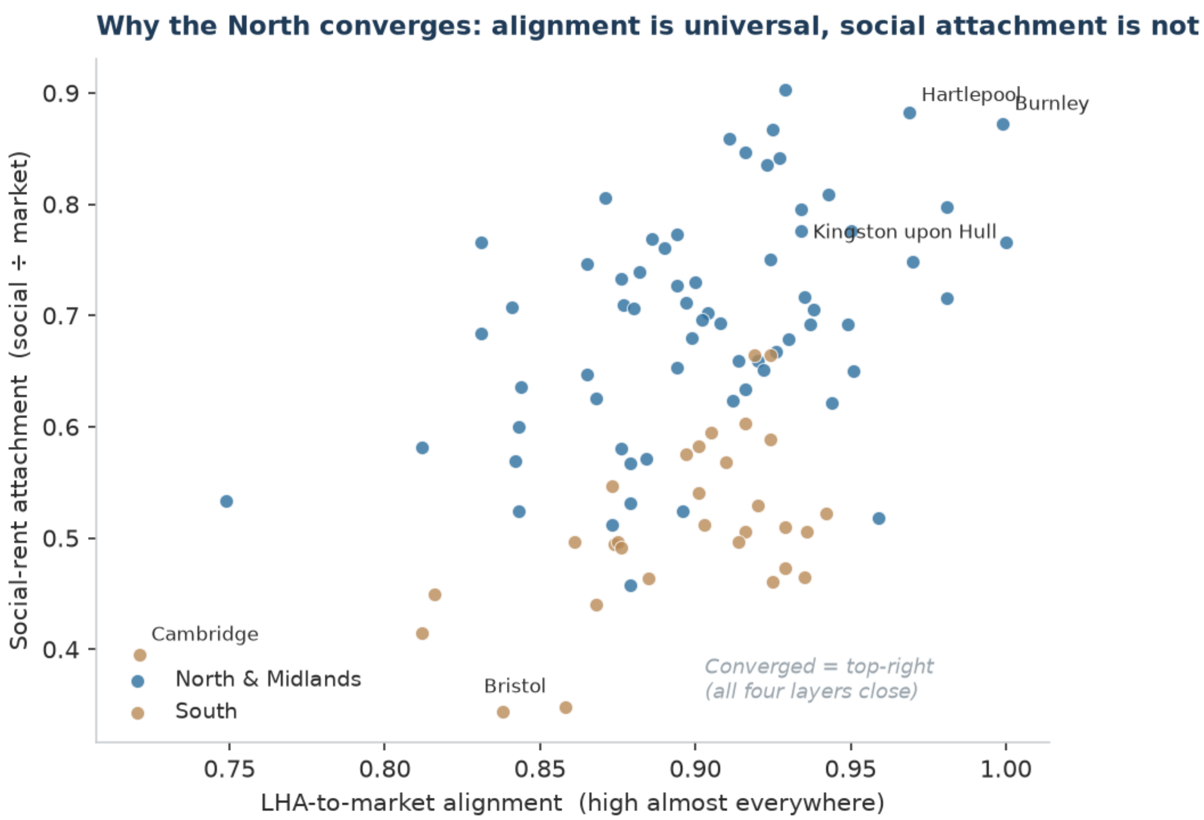
The convergence idea

- **Aligned when:** LHA is close to market rent — benefit-backed demand is well supported.
- Affordable Rent (80% of market) sits near or below LHA — coverable by a benefit tenant.
- Social rent not wildly detached from market rent.
- 1/2/3-bed rents relatively compressed (low variation).

Score = 0.40 × LHA-alignment + 0.30 × social-attachment + 0.30 × rent-compression (0–1; higher = tighter).

The mechanism the data exposes

- LHA-to-market alignment is high almost everywhere — LHA is the 30th percentile by design (even Cambridge, Guildford score well).
- Social rent barely varies nationally (~£380–£490/mo here) but market rent ranges ~£475–£1,400.
- **Result:** four-layer convergence needs a low-rent market — the northern signature.

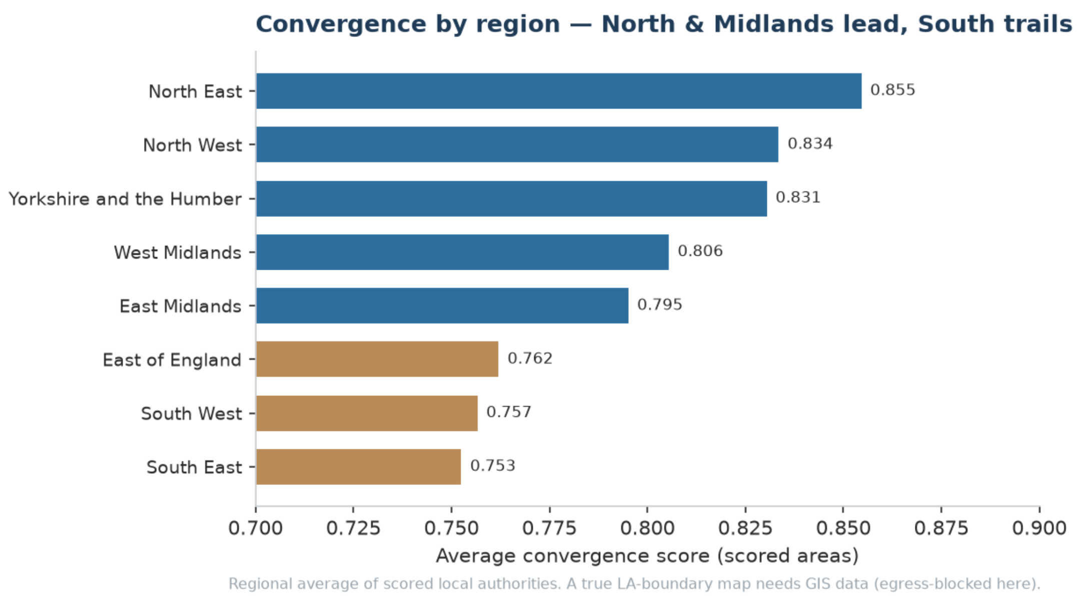


Measured results — Top 20 areas

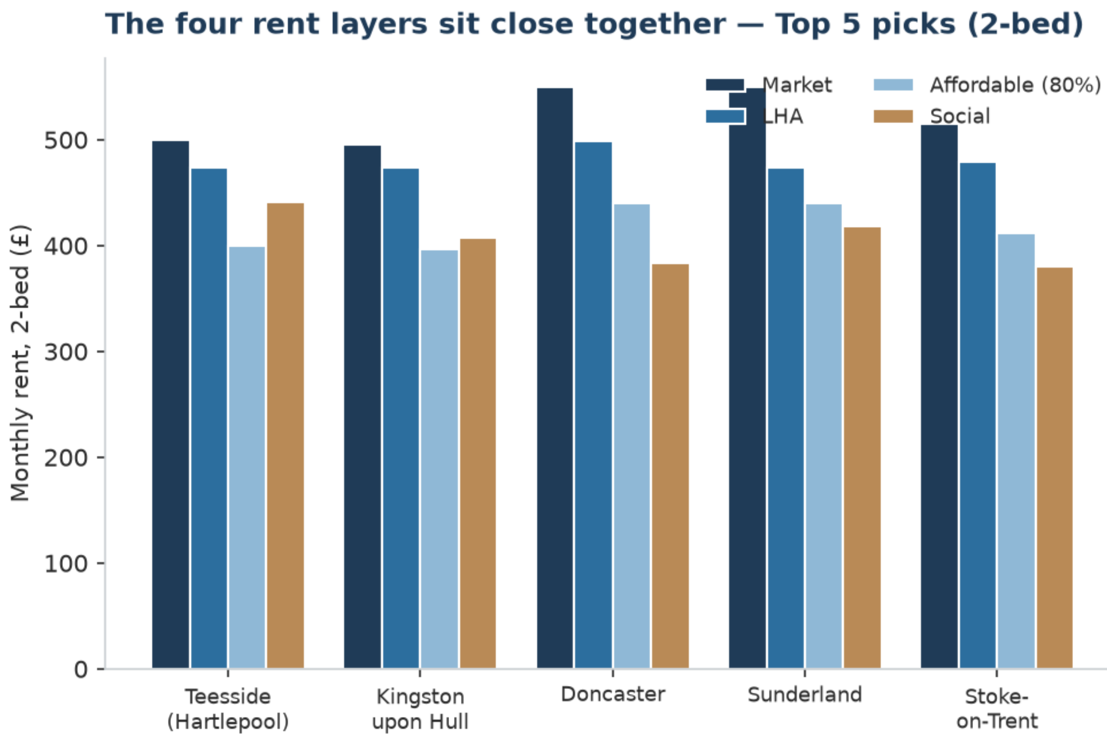
#	Area	Region	Mkt 2-bed	LHA 2-bed	Social 2-bed	Score
1	Burnley	North West	£475	£474	£425	0.928
2	Hartlepool	North East	£500	£474	£441	0.921
3	Redcar and Cleveland	North East	£510	£474	£461	0.906
4	Hyndburn	North West	£495	£474	£403	0.889
5	Middlesbrough	North East	£525	£474	£450	0.888
6	Barrow-in-Furness	North West	£550	£499	£493	0.886
7	South Tyneside	North East	£500	£549	£396	0.883
8	NE Lincs (Grimsby)	Yorks & Humber	£525	£479	£426	0.883
9	N Lincs (Scunthorpe)	Yorks & Humber	£525	£494	£421	0.879
10	Pendle	North West	£520	£474	£404	0.879
11	County Durham	North East	£450	£399	£390	0.875
12	Kingston upon Hull	Yorks & Humber	£495	£474	£407	0.875
13	Rotherham	Yorks & Humber	£550	£499	£401	0.872
14	Scarborough	Yorks & Humber	£600	£549	£493	0.871
15	Gateshead	North East	£580	£549	£406	0.869
16	Blackburn with Darwen	North West	£524	£474	£412	0.867
17	Blackpool	North West	£550	£540	£404	0.858
18	Preston	North West	£600	£573	£422	0.850
19	Sunderland	North East	£550	£474	£418	0.850
20	Stoke-on-Trent	West Midlands	£515	£479	£380	0.846

Rents matched to the LHA reference window (Oct 2022–Sep 2023); measures structural convergence, not today's live gap. Full 97-area table in the accompanying spreadsheet.

Regional pattern



Top 5 investment picks



1 · Teesside — Hartlepool / Redcar / Middlesbrough

- **Why:** elite convergence (#2/#3/#5) with the clearest new-demand story: Teesworks / Freeport and energy investment.
- **Watch:** keep to the regeneration footprint; avoid deprived peripheral estates.

2 · Kingston upon Hull (#12)

- **Why:** top-tier convergence, a large deep market, and a real demand engine — Humber energy cluster, port, university.
- **Watch:** flood-zone and older-stock pockets; social rents unusually low.

3 · Doncaster (#22)

- **Why:** strong convergence with a genuine logistics / rail base and Sheffield city-region pull.
- **Watch:** post-industrial low-demand micro-markets.

4 · Sunderland (#19)

- **Why:** strong convergence plus Riverside regeneration and automotive employment.
- **Watch:** peripheral estates weaker; single-employer exposure.

5 · Stoke-on-Trent (#20)

- **Why:** strong convergence with regeneration and affordability-led in-migration.
- **Watch:** pockets of low-demand terraced stock; buy in sound sub-markets.

Highest pure convergence but thinner demand: Burnley / Hyndburn / Pendle / Blackburn (East Lancs), Grimsby, Scunthorpe, Rotherham. Blackpool scores well but stays a watch (weak demand, poor stock).

Operators active in the stream

Registered providers (RP) and council ALMOs already delivering social & affordable rent in each pick. RSH grades: G=governance, V=viability, C=consumer (1 = strongest). * = widely-reported figure.

Area	Organisation	Type	Homes	RSH (G/V/C)
Teesside	Thirteen Group	RP	~34,000	G1 / V1 / C1
Teesside	Beyond Housing	RP	~15,350	G1 / V1 / —
Teesside	North Star Housing	RP	~4,000	G1 / V1 / —
Hull	Riverside	RP	~75,000*	G1 / V2 / —
Hull	Sanctuary	RP	~120,000*	G1 / V2 / C2
Hull	Pickering & Ferens Homes	RP	~1,400	n/v
Doncaster	St Leger Homes of Doncaster	ALMO	~20,000	— (council-held)
Doncaster	Together Housing	RP	~36,000	G1 / V2 / —
Doncaster	Housing 21	RP	~23,300	G1 / V1 / C1
Sunderland	Gentoo Group	RP	~29,000	G1 / V2 / C1
Stoke-on-Trent	Aspire Housing	RP	~9,300	G1 / V2 / C1
Stoke-on-Trent	Honeycomb Group (Staffs Housing)	RP	~3,118	n/v
Stoke-on-Trent	EPIC Housing	RP	~1,400	n/v

Maps who is active — not an endorsement or a claim of current tenders. Verify current pipeline / JV appetite and re-check RSH judgements before acting.

Method, data & caveats

Data sources (official, open)

- Market rent — ONS/VOA Private Rental Market Statistics: median monthly rent by bedroom, by local authority (Oct 2022–Sep 2023).
- LHA — DWP/VOA April-2024 rates (frozen), 1/2/3-bed, by BRMA.
- Social rent — Regulator of Social Housing 2024/25: per-LA, per-bedsize general-needs rent.
- Affordable Rent — derived as 80% of market (statutory definition).

How it was built

- Three layers joined per area; convergence score computed and ranked.
- 92 of 97 areas use local social rent; 5 use the England average as fallback.
- LA→BRMA geography: 56 exact matches + 37 web-verified + 4 genuinely multi-BRMA (flagged).

Caveats

- Structural, not live — rents matched to the frozen-LHA window; today's market-vs-LHA gap is wider.
- A convergence screen, not a demand / yield / asset-quality model — pair with local demand work.
- Small-sample areas flagged in the data; treat cautiously.
- 97 areas scored (not all ~300) — full national coverage needs the official LA→BRMA lookup.

Sources

ONS Private Rental Market Statistics · DWP/VOA Local Housing Allowance rates · Regulator of Social Housing, Registered provider social housing stock and rents 2024/25 · RSH regulatory judgements. All Open Government Licence. Reproducible via run_measured_ranking.py.